QUIDEL

QUIDEL FOURTH QUARTER AND FULL YEAR 2019 CONFERENCE CALL SCRIPT

Wednesday, February 12, 2020

2:00 p.m. PT/ 5:00 p.m. ET

OPERATOR:

Ladies and gentlemen, thank you for standing by.

Welcome to the Quidel Corporation Fourth Quarter and Full Year 2019 earnings conference call. At this time all participants are in a listen-only mode. Later, instructions will be given for the question-and-answer session. If anyone has difficulty hearing the conference, please press *0 for operator assistance.

I'd now like to turn the call over to Mr. Ruben Argueta, Quidel's Director of Investor Relations. Please go ahead.

Ruben Argueta

Thank you, Operator. Good afternoon everyone -- and thank you for joining today's call. With me today is our president and chief executive officer, Doug Bryant, and Randy Steward, our Chief Financial Officer.

Our fourth quarter and full year 2019 earnings release is now available on ir.quidel.com, our Investor Relations website. We will also post our prepared remarks on the Presentations tab of our IR website following the conclusion of this call, on February 12th, for a period of 24 hours.

Please note that this conference call will include forward-looking statements within the meaning of Federal securities laws. It is possible that actual results and performance could differ significantly from these stated expectations. For a discussion of risk factors, please review Quidel's annual report on Form 10-K, registration statements and subsequent quarterly reports on Form 10-Q, as filed with the SEC.

Furthermore, this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, February 12, 2020. Quidel undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call, except as required by law.

Today, Quidel released financial results for the three months and full year ended December 31, 2019. If you have not received our news release, or if you would like to be added to the company's distribution list, please contact me at 858-646-8023.

Following Doug's comments, Randy will briefly discuss our financial results. Then, we'll open the call to your questions.

I'll now hand the call over to Doug for his comments.

<u>DOUG BRYANT</u>

Thank you Ruben, and good afternoon everyone.

As I reported at a recent healthcare conference, we were expecting strong fourth quarter revenue, so there's no surprise. At $152.2 million, we were just slightly ahead of the $151 to $152 million that we had suggested. The strength was driven by an early start to the influenza season, in which very unusually, Flu B was the dominant strain. And now, as you know, we're in the middle of an influenza A epidemic across most of the United States. Sofia and Solana Q4 revenues were favorably affected, of course, but we also saw a pick-up in QuickVue revenue as customers who may have purchased generic flu tests in the past because of price returned to our QuickVue brand because of ease-of-use factors, and the importance of a shorter turnaround time when patient volumes are high. For many of our larger multi-site customers, our proven ability to scale during an epidemic, leveraging our supply chain to manufacture millions more flu tests when needed, has also been a compelling reason to switch back to QuickVue. Molecular product revenue, which was also helped by the early start to the influenza season, was up 21% to $7.1 million. Cardiometabolic revenue contributed to the strong quarter as well, up 5% on both an actual and a constant currency basis, as the unfavorable foreign exchange impact that we saw in the first three quarters was largely mitigated in the fourth.

For the year overall, revenues were roughly $535 million, in line with our expectations for 2019 despite soft influenza revenue in Q1 and the delay in regulatory clearance for the new Triage Toxicology panel. Equally important, we had a number of operational accomplishments in the year. The global integration of the Triage businesses was completed in November, delivering $20 million in annual synergies, which was ahead of our plan. We reduced our debt by another $98.6 million, also a little earlier than we had expected. The R&D, Clin/Reg, and Instrument Systems Development teams made significant progress in 2019 as well. All of the twenty or so R&D

projects that we are working on are important, and I'll be happy to discuss any of them as you like during the Q&A, but I want to mention three. First, the Savanna cross functional product development team did achieve a couple critical milestones. One, the first six assay panels that were previously discussed in our presentations are complete. I can review those again if you want, but there's no change at this point to our initial menu strategy. And two, the cartridge design was finalized and cartridges are now being manufactured, clearing the way for the integration of assays and cartridges with the instrument, which is currently in development. Second, Sniffles, our next generation Sofia platform, is still on track for US clinical trials during the respiratory season next winter. And third, we're expecting the publication of the APACE study data that demonstrates the excellent performance of Triage High Sensitivity Troponin in a major cardiology journal any week now, and hope to finalize our US clinical trial design for the product this spring.

Moving forward to 2020, we expect increasing efficiency and productivity of the sales and marketing teams globally, leveraging key account and distributor relationships to sell an increasingly broader product offering. While we expect to continue promoting our flagship products, and believe that there is still more share to be gained, in 2020 we are counting on seeing traction and getting help from the newer products, Sofia Lyme, Triage Toxicology, high sense Troponin in Europe, Triage PIGF, and the new Sofia GI products. These products should account for about $10 million in incremental revenue.

Before turning it over to Randy to review financial detail for last quarter and the year, I should make a brief comment on the potential impact of the novel Coronavirus in China. Most important, none of the numerous employees we have in China has been ill, and none of several employees returning from trips to China has been ill. Routine trips to China, like my own, have been postponed until the spring. Shipments of our products this quarter have been received by our re-packer and distribution, and we have additional product in China that cleared customs this morning. If there is a risk to our ability to ship and recognize revenue this quarter, it would be in the next shipment. If for some reason there were a problem, and we would be unable to ship, our total downside risk for the quarter would be about $5 million.

And with that I will summarize by saying that Q4 was really good, 2019 was fine -- in line with expectations -- and we're really looking forward to 2020 on a number of fronts. Camaraderie in this company is terrific, and the morale and happiness of our employees has never been higher. Quidel has truly become a great place to be and the recruiting of extraordinary talent from the outside has become increasingly easier.

Randy?

RANDY STEWARD

Fourth Quarter Financial Results

Thank you, Doug. Good afternoon everyone. As we reported earlier today, total revenues for the fourth quarter of 2019 were $152.2 million dollars, as compared to $132.6 million dollars in the fourth quarter of 2018. The 15% increase came from revenue growth across all four major categories. We realized a 29% increase in Rapid Immunoassay revenue, a 5% growth in Cardiac Immunoassay revenue, 21% growth in Molecular Diagnostic Solutions revenue, and 7% growth from Specialized Diagnostic Solutions. In the quarter, there was not a significant foreign currency impact.

For the Cardiac Immunoassay business, revenue was $65.8 million dollars, a growth of 5% in the fourth quarter of 2019. Of the $65.8 million dollars in Cardiac revenue, $33.6 million dollars were derived from the Triage business, and $32.2 million dollars from the Beckman BNP business. We placed an incremental 292 Triage MeterPro instruments in the quarter, as we continue to close smaller volume accounts on the Triage side of the business to offset lost customers to the higher volume multiplex systems.

Cardiac Immunoassay realized revenue growth in all major geographies: North America increased 5%, China increased 6%, and EMEA grew 3%. North America and China realized growth on the Beckman BNP side, somewhat offset by declines in the Triage business. EMEA realized strong growth in Triage, somewhat offset by declines in Beckman BNP.

For the year, on an as-reported basis, Cardiac Immunoassay revenue was $266.5 million dollars, equal to last year. On a constant currency basis, Cardiac Immunoassay revenue grew by 2% over the prior year. Of the $266.5 million dollars in Cardiac revenue, total Triage business revenue was $139.9 million dollars, a decrease of 6%, and the Beckman BNP revenue was $126.6 million dollars, an increase of 7%. From a geographic perspective, for the full year, Cardiac revenue in North America was $137.3 million dollars, China was $61.4 million dollars, and EMEA was $43.7 million dollars.

Rapid Immunoassay product revenues increased 29% to $64.9 million dollars in the fourth quarter of 2019 as compared to $50.4 million dollars in the previous year. Within this category, Sofia products grew 38 percent from the fourth quarter of 2018 to $46.6 million dollars, while QuickVue product revenues increased 11% to $17.1 million dollars, driven by Influenza.

Total Influenza revenue, which includes rapid immunoassay, DHI respiratory and molecular diagnostics, grew 44% in the quarter to $50.3 million dollars. The Influenza rapid immunoassay revenue was $45.0 million dollars, with approximately 83% of the revenue derived from the Sofia platform. Total Strep revenue was up 1% and RSV was up 29%.

Revenue in the Specialized Diagnostic Solutions category increased 7% in the fourth quarter to $14.3 million dollars, driven by a 42% increase in respiratory-related DHI revenues as well as a 4% increase in our Specialty microtiter business.

Our Molecular Diagnostic Solutions category increased 21 percent in the quarter to $7.1 million dollars due to a 29% revenue growth in Solana. We continue to see strong growth from our Solana platform, specifically with the Strep A and Influenza product lines driven by the severe and earlier than typical influenza season. We are seeing strong growth from our Solana C. difficile and HSV/VZV products.

For the year, our Molecular franchise grew by 12%, driven by 25% growth from Solana. We believe that there is continued strong demand for the Solana platform, and that Solana will continue to be the driver of molecular growth going forward, driven by incremental Solana instrument placements and increased assay utilization.

Gross Profit in the fourth quarter of 2019 increased $12.7 million dollars to $94.8 million dollars, primarily driven by improved product mix and higher revenue in the quarter. Gross profit margin in the fourth quarter of 2019 was slightly improved at 62.3%. For the full year, we achieved GAAP gross margin of 60% - a performance on par with last year. Excluding intangibles, gross profit margin for the full year was 61%, with the breakdown as follows: the legacy Quidel business gross margin was 66%, the Triage gross margin was 51%, and the Beckman BNP business gross margin was 63%.

R&D expense increased by $2.3 million dollars in the fourth quarter as compared to the same period of 2018. This increase is due to greater investments made on new product platforms, including Savanna. We expect that our R&D expense in 2020 should be equal to, or slightly higher than 2019, and will be in the range of $53 million to $56 million dollars.

Sales and Marketing expense in the fourth quarter of 2019 increased by $1.6 million dollars as compared to the same period last year, due to increased spend on expanding our international sales organization, product promotion costs, and higher freight costs, offset by lower transition service fees, as we have completed the globalization of our commercial team. For the full year 2020, we expect Sales and Marketing expense to be between the range of 20% - 21% of revenue.

G&A expense increased by $2.0 million dollars in the quarter, primarily due to higher facility costs and Information Technology spend, offset by lower fees for professional services. We expect G&A expenses to be between $55 million and $60 million dollars for the full year 2020.

As it relates to the provision for income taxes, the full year 2019 effective tax rate was 5.5%. This 2019 overall tax provision rate includes beneficial impacts from equity compensation that occurred during the year and from the generation of Federal & state research credits. In 2018, the Company had the one-time impact of releasing

$13.4 million of its valuation allowance against its net deferred tax asset balance as it became more likely than not that these deferred tax assets will be utilized before they expire. As a result, we recorded an income tax benefit of $10.8 million for fiscal year 2018. Due to the uncertainty of the beneficial impact from equity compensation, we expect the 2020 effective tax rate to be in the range of 19% - 21% of pre-tax income.

For the full year, we achieved net income of $72.9 million, GAAP EPS of $1.78, and non-GAAP EPS of $2.97, a very rewarding year.

As we've said since our analyst day in 2018, an important part of our capital deployment strategy has been to aggressively de-lever the business. In 2019, we continued to execute on that strategy by accelerating our debt reduction through opportunistic convertible bond exchanges and utilizing our excess cash to reduce the balance on our Revolving Credit Facility. As of today, we have completely paid off the remaining balance on the Revolving Credit Facility, have only $13 million remaining in Convertible Bond Debt, which matures this December 2020, and plan to make our third $48 million payment to Abbott in April. From a balance sheet perspective, our company is well positioned for M&A, licensing or other partnership opportunities in support of our longer-term growth objectives.

And with that, we conclude our formal comments for today. Operator, we are now ready to open the call for questions.

Q&A

OPERATOR

That is all the time we have today. Please proceed with your presentation or any closing remarks.

DOUG BRYANT

Thanks everyone for your support and for your interest in Quidel. We had a great year, and we're in terrific shape to achieve our growth objectives over the next few years. Thanks again for being on the call.

OPERATOR

Ladies and gentlemen, we thank you for your participation, and ask that you please disconnect your lines. Goodbye.